
9.4 IMPOSSIBLE TRINITY: ALTERNATIVE SCENARIOS COUNTRIES' EXPERIENCE

The choices made by policymakers are not so clear-cut. The concept of the impossible trinity went from theoretical curiosity to becoming the foundation of open economy macroeconomics in the 1980s, by which time capital controls had broken down in many countries, and conflicts were visible between pegged exchange rates and monetary policy autonomy. While one version of the impossible trinity is focused on the extreme case – with a perfectly fixed exchange rate and a perfectly open capital account, a country has absolutely no autonomous monetary policy; the real world has thrown up repeated examples where capital controls are loosened, resulting in greater exchange rate rigidity and less monetary-policy autonomy.

Europe's *exchange rate mechanism* (ERM) was born after the death of the Bretton Woods System. No member violated the impossible trinity. The German unification in 1989 was the first big shock. The second big shock was the single market. The single market required capital mobility and free movement of capital. With fixed exchange rates and no control over capital, member nations had to implicitly give up their autonomy over monetary policy. Since Germany was the biggest economy, they aligned themselves with the policies of Germany's Bundes Bank. But the reunification called for a very tight monetary policy in Germany and, therefore, in other member-nations. Britain needed something loose and different. Britain walked out of the ERM because it knew that the impossible trinity could not be violated. Britain regained interest rate autonomy, retained capital mobility and regained floating exchange rates. This explains why Britain is a non-euro country.

In practice, many emerging markets are fearful of letting the exchange rate move sharply, so they choose to sacrifice either free capital mobility (by introducing capital controls, or by adding to or depleting their foreign-currency reserves) or monetary independence, by giving priority to currency stability over other targets. China for instance is currently up against the classic trilemma involving the impossible trio. The country wants to keep the *Yuan* stable because it aspires to make it an international reserve currency akin to the US dollar. So the currency is allowed to fluctuate only 2 per cent on either side of a peg determined by the Chinese central bank. China is also trying to accelerate the move towards making the *Yuan* freely convertible as that is one of the prerequisites for an international currency. Attempting to sustain the current rate of exchange will lead to the depletion of forex reserves. This is impeding China from following the independent monetary policy needed to kick-start growth. China wants eventually to liberalise its capital account as a stepping stone to a modern financial system. To do so, it will have to live with a volatile *yuan*.

With open capital markets and a currency board, Hong Kong implicitly accepts foreign monetary policy, which can sometimes be too tight or too easy. The fixed

exchange rate provides a stable environment for importers and exporters. Countries such as Australia and New Zealand have chosen domestic price stability in the form of an inflation target, and accept a high degree of exchange rate volatility. India has a multiple indicators approach and looks at everything. Surging capital flows is a problem in most countries. Countries like Korea, NZ and the Philippines have inflation targets and capital flows have been a problem with them. Ideally, there should have seen some appreciation in these countries. However, the currency has appreciated only in India, Korea and China from 1994 levels. The consensus is to have free capital inflows, have a stable monetary policy and let the currency float.

India has been able to actively manage the exchange rate and limit exchange rate volatility relative to other emerging market economies, by building up international reserves and intervening actively in the foreign exchange market. Such reserve management has also helped to some extent in regaining control over monetary policy even in the face of capital inflows. However, the steps RBI took in 2013 to defend the currency have resulted in a reversal of the direction of interest rates in the economy. The then RBI governor *D. Subbarao*, in his statement on the review of the monetary policy on 30 July 2013 noted that India is currently caught in a classic '*impossible trinity*'. Put differently, to protect the rupee, RBI has lost some independence in how it makes the monetary policy.

In sum, in the modern world, given the growth of trade in goods and services along with fast paced of financial innovation and lacking effective control over the free movement of capital, the impossible trinity asserts that a country has to choose between reducing currency volatility and running a stabilising monetary policy. It cannot do both. The combination of the three policies is known to cause the financial crisis. The Mexican peso crisis (1994–1995), the 1997 Asian financial crisis (1997–1998), and the Argentinean financial collapse (2001–2002) are often cited as examples. In particular, the East Asian crisis (1997–1998) is widely known as a large-scale financial crisis caused by the combination of the three policies which violate the impossible trinity. *Mundell* always says to let capital flow and defend exchange rates. *Hélène Rey* has observed that “for the past few decades, international macroeconomics has postulated the '*trilemma*': with free capital mobility, independent monetary policies are feasible if and only if exchange rates are floating. The global financial cycle transforms the trilemma into a '*dilemma*' or an '*irreconcilable duo*': independent monetary policies are possible if and only if the capital account is managed”.

In this context, it is well to remember what James Rickards has emphasized; there is one big exception to the impossible trinity. That's the United States. The U.S. sets interest rates independently and has an open capital account. The U.S. does not officially peg the dollar to any other currency (thus technically not breaking the Impossible Trinity). But it does work with other countries to allow them to informally peg to the dollar. Why does the U.S. not suffer adverse

consequences? Because the U.S. does not need foreign exchange. The dollar is the leading reserve currency in the world (about 60% of global reserves and about 80% of global payments), so the U.S. can never run out of foreign exchange to pay for things, it can just print more dollars! This is what the French called the dollar's 'Exorbitant Privilege' in the 1960s.

Check Your Progress 2

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Why is it difficult for countries to circumvent the impossible trinity?

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2) Discuss the policies adopted by European countries

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3) Give examples of financial crises because of the non-observance of the impossible trinity.

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9.5 IMPORTANCE OF IMPOSSIBLE TRINITY

The model serves as an introduction to the formal theory of policymaking. This model cannot be relegated to textbooks only. It affects the policies of countries and central banks across the globe. This concept is impossible to ignore, especially if one is a keen follower of macros. Theoretically, policy-makers should manage macroeconomic policies following the rule that '*for each goal might correspond only one macroeconomic policy instrument*'. This means that even a floating exchange rate regime does not release policy-makers from facing the '*trilemma*' of economic policy. No government can achieve more targets than it has instruments. The *Mundell* model implied an optimal assignment and, more important, was drawn up within the *Tinbergen* target-instrument framework. Many of the more sophisticated models followed have continued in this tradition.

In this regard, the *Mundell-Fleming* model has been successful in the theoretical predictions in matching empirical facts such as the effects of U.S. macroeconomic policies in the 1980s and helping explain the model's influence among academics and policymakers. *Mundell's* contribution to international macroeconomics is extraordinary. The '*impossible trinity*' is among his best. It is

axiomatic. Understanding and using the *impossible trinity* works wonders if one can spot the right conditions and set up the trades in advance of the inevitable policy failures of the central banks. Those failures (which do happen) represent some of the best profit-making opportunities of all. While citing the example of England, *James Rickards* has observed how by understanding the *impossible trinity* *George Soros* broke the Bank of England on September 16, 1992 (still referred to as ‘*Black Wednesday*’ in British banking circles). *Soros* also made over \$1 billion that day. The importance of the concept may be recapitulated as under:

- i) The impossible trinity is a tool to separate countries with good policies from those with bad policies. It is also a tool used to make accurate forecasts based on the sustainability of those policies.
- ii) Using the impossible trinity to spot trends and make investment decisions requires a lot of analysis. There are three policies that can go wrong (A, B, and C above), and three ways to fix them (again, A, B, and C). That gives nine basic scenarios ($3 \times 3 = 9$), and many more when one considers hybrid or combined policies, (a country could devalue its currency and slap on capital controls at the same time). There are always expert practitioners on the lookout for non-sustainable policies that are bound to break. This is a kind of strategic intelligence.
- iii) The policy challenges associated with the ‘*impossible trinity*’ have become more relevant to developing countries as more and more of them have taken steps to liberalize the capital account of their balance of payments to permit freer flows. Over the years, several countries have mishandled this trilemma. It is important to remember that domestic policy-makers should not deviate from this discipline from time to time.
- iv) Countries must keep in mind the key lessons to be drawn from the experience of other countries. Flouting the basic premises of the *Mundell – Fleming model* (the ‘*impossible trinity*’) has inevitable consequences. It leads to unsustainable macroeconomic imbalances. Failure to take early remedial action would result in a steady deterioration of macroeconomic fundamentals. The earlier the remedial measures are implemented the less painful will be the adjustment. The painful corrective austerity measures have eventual political costs, particularly if stabilization measures are implemented without supporting structural reforms which strengthen the growth framework of the economy.
- v) Impossible trinity has highlighted the main challenges that emerging economies face today as they integrate with global capital markets in managing the trade-offs between the trinity. The rise in the volatility of global capital flows has made macroeconomic management increasingly complex, especially for emerging economies that are striving to achieve a balance between the diverse objectives of robust growth rate, sustainable current

account deficit, competitive exchange rate, access to adequate external capital for financing investment, moderate inflation, and sufficient international reserves. This has also reignited the debate on suitable macroeconomic management measures. *Sooner or later bad economics becomes bad politics.* The authorities must move beyond politics to embark upon sound economic policy-making which recognises the discipline imposed by the 'impossible trinity'.

9.6 IMPOSSIBLE TRINITY AND DEMAND FOR CAPITAL ACCOUNT CONVERTIBILITY (CAC) OF INDIA'S RUPEE

The move towards making the Indian rupee fully convertible on the capital account has attracted considerable debate. The critics have claimed that full convertibility or capital mobility and freely floating exchange rates are inimical to India's interests. The critics have referred to Britain's crisis in 1992 and the Asian crisis in 1997 to buttress their criticism. However, the criticisms have been contested by the advocates of capital account convertibility. Advocates have argued that capital mobility and freely floating exchange rates are not joint policy issues. One can exist without the other. The crisis in Britain erupted when policymakers understood the axiomatic inviolability of the impossible trinity. The Asian crisis was craftily brewed by central banks that dodged the impossible trinity.

In a managed float economy, the rupee floats somewhat. Although the rupee is not pegged to any currency, India does not allow free movement on the capital account. Capital control is put in place to preserve financial stability as large inflows and outflows can lead to financial instability. The RBI is not defending the rupee by selling foreign currency in the market, but if it did, the impact on the interest rate would have been the same. Selling foreign exchange would reduce the supply of rupees in the market which would have resulted in higher rates. But the RBI has made it clear that it would like to move towards full convertibility over the long term. If that happens, RBI may not be able to maintain the tight reign on interest rates. An independent monetary policy will be difficult given that the rupee is nowhere close to becoming a reserve currency like the dollar.

The researchers have observed that India's capital account liberalization that began in the early 1990s has since then been a steady albeit slow and gradual process. Regarding opening up the financial markets to foreign investment, Indian authorities have always proceeded with a lot of caution and apparent scepticism about the benefits of foreign capital balanced against the potential instability that such capital inflows might trigger. On one hand foreign capital offers a diversification of opportunities to investors and provides avenues to bridge the gap between domestic saving and investment, and on the other unbridled flows can fuel inflationary pressures, fan asset price bubbles, and

sudden reversals in capital inflows can lead to instabilities and even crises in financial and currency markets. The decade of the 1990s was replete with several such incidents of financial crises all over the emerging world as seen in Mexico (1994), East Asia (1997), Russia (1998), Brazil (1999) and eventually Argentina (2000). Rampant volatile debt inflows in the domestic economies triggered all these episodes of crises. (Reddy, 2008).

Though India is now more open in absolute terms than it used to be during the early 1990s, the cautious and gradual approach towards capital account liberalization has meant that India has significantly lagged behind other countries. Even today, more than two decades after India started opening up its capital account, there exists an extensive array of restrictive controls imposed by authorities on different categories of foreign investment to actively manage the capital account. India's capital account seems to be only partially open and the exchange rate is in a managed floating regime. India has also been accumulating large amounts of foreign currency reserves since the early 2000s.

India does not allow free movement on the capital account. Capital control is put in place to preserve financial stability as large inflows and outflows can lead to financial instability. Issues related to the capital account constitute a subject upon which divergent views have existed and a professional consensus is yet to emerge. CAC is not a standalone objective but a means for higher and stable growth. There is no need or use to hustling towards CACs; the movement should be at a pace the country is comfortable with, considering all relevant factors and the environment, in which the country has to function.

Check Your Progress 3

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) What are the implications of the impossible trinity in policymaking?

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2) Why do we study the impossible trinity? Point out its practical significance.

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3) What is capital account convertibility (CAC)? How are capital A/c convertibility and current A/c convertibility different?

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9.7 LET US SUM UP

After completion of this unit, you will understand that, the impossible trinity also called the Mundell-Fleming trilemma or simply the trilemma expresses the limited options available to countries in setting monetary policy. According to this theory, a country cannot simultaneously achieve the free flow of capital, a fixed exchange rate and independent monetary policy. Pursuing any two of these options necessarily closes off the third.

The '*impossible trinity*' is a fundamental contribution of the Mundell-Fleming framework. Confronted with this Trilemma policymakers have to choose a combination of any two objectives because all three goals can be mutually inconsistent.

Today most countries allow their currencies to float. That way, the currency adjusts to the waxing and waning of capital flows, allowing interest rates to respond to the domestic business cycle. The trilemma is not as simple as it appears since most countries lack monetary policy independence whether or not they have free exchange rates and capital flows. The reason has to do with the overwhelming influence of the Federal Reserve.

With autonomous monetary policy, the exchange rate is on autopilot. With fixed exchange rates, the monetary policy is on autopilot. This is what makes the entire learning so good. One not only knows what the impossible trinity is, but one also knows which country is doing what.

India adopted a calibrated and hierarchical approach towards capital account liberalization, prioritizing some flows over others. CAC need not be India's overriding priority.

9.8 KEY WORDS

Trade-offs	Something is being given up for something else.
Asian financial crisis	The Asian Financial Crisis of 1997 (also called the 'Asian Contagion') was a financial crisis that affected many Asian countries, including South Korea, Thailand, Malaysia, Indonesia, Singapore and the Philippines. After posting some of the most impressive growth rates in the world at the time, the so-called 'tiger economies' saw their stock markets and currencies lose about 70% of their value.
Tinbergen target-instrument framework	According to the well-accepted 'Tinbergen Rule' a policy instrument can be effective only if it has a single objective. No government can achieve more targets than it has instruments.

For example, when there are two targets, two policy instruments are required to achieve both objectives. The interest rate is better suited to target domestic imbalances. Targeting exchange rates through market intervention is better suited to targeting external imbalances. The Tinbergen Rule has been used to criticise multi-target policy instruments for being inefficient.

Macroeconomics Management Management of issues relating to GDP, fiscal policy, monetary policy, trade policy, growth strategies, sovereign wealth funds, etc.

**Capital account
convertibility (CAC)**

Is a feature of a nation's financial regime that centres on the ability to conduct transactions of local financial assets into foreign financial assets freely or at country-determined exchange rates.

Financial Integration

There is no universal definition of 'financial integration'. Nevertheless, the term typically encompasses concepts like financial openness, free movement of capital and integration of financial services. The Financial System Inquiry of 2014 considered financial integration to be a country's 'financial connectedness' with other countries, noting that greater financial integration tends to increase capital flows and equalise prices and returns on traded financial assets in different countries.

International Reserves

International reserves are any kind of reserve funds that can be passed between the central banks of different countries. International reserves are an acceptable form of payment between these banks. The reserves themselves can either be gold or else a specific currency, such as the dollar or euro.

Capital control

Capital control represents any measure taken by a government, central bank or other regulatory body to limit the flow of foreign capital in and out of the domestic economy. These controls include taxes, tariffs, outright legislation and volume restrictions, as well as market-based forces. Capital controls can affect many asset

classes such as equities, bonds and foreign exchange trades.

Capital movement

The transfer of capital between countries. It refers to the movement of money for investment, trade or business production, including the flow of capital within corporations in the form of investment capital, capital spending on operations and research and development (R&D).

Sterilized Intervention

Is the purchase or sale of foreign currency by a central bank to influence the exchange value of the domestic currency, without changing the monetary base. Empirical evidence suggests that sterilized intervention is generally incapable of altering exchange rates.

9.9 SOME USEFUL REFERENCES

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Mundell–Fleming model

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What is the Impossible Trinity?

<https://dailyreckoning.com/what-is-the-impossible-trinity/>

9.10 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check your progress 1

- 1) See section 9.2
- 2) See section 9.3
- 3) See section 9.3

Check your progress 2

- 1) See section 9.4
- 2) See section 9.4
- 3) See section 9.4

Check your progress 3

- 1) See section 9.5
- 2) See section 9.5
- 3) See section 9.6